Thermal Solutions - AI Liquid Cooling TAM Expanding

April 15, 2026 09:00 PM GMT

We expect 2Q26 to be another record quarter for thermal solution stocks we cover, driven by ongoing shipment ramps for GPU/CPU/ASIC server racks. The newly introduced VR POD also suggests extended liquid cooling adoption in major compute and data transmission. We stay OW on AVC and Fositek.

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Key Takeaways

- Strong demand for AI and general-purpose servers will continue to drive thermal component shipments in 2Q26, both air and liquid cooling related.
- Larger shipment scale, a better mix, and an improved learning curve at newly added facilities are positive to margin expansion.
- Increased rack design variety for the upcoming Vera Rubin POD implies AI liquid cooling TAM is expanding from GPU, CPU to CPO switches and optical transceivers.
- We expect server contribution to exceed 50% of 2026e revenue across the board.
- Both AVC and Fositek are OW as major beneficiaries of liquid cooling adoption in AI data center infrastructure and profit upside. Auras and Sunon are EW.

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2Q26 another record quarter: We now expect AVC and Fositek to deliver record gross margin in 1Q26 on revenue scale increase and favorable mix shift (server contribution >55%), and expect Auras to recover gross margin on improved production at new fabs in Thailand. Strong AI server and general-purpose server demand should continue to drive the shipment strength in 2Q26, so we estimate another record quarter for revenue across the board. However, Fositek might face a relatively flat quarter due to smartphone hinge model transition.

Everything is upgraded to liquid-cooled: Rack varieties are increasing for the upcoming Vera Rubin POD - VR NVL72, Groq 3 LPX, Vera CPU rack, Bluefield 4 storage rack, and Spectrum-X CPO switch rack - each designed with liquid cooling solution. That implies AI cooling TAM is expanding substantially into 2027 and this is consistent with rapid capacity expansion announced by AVC.

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AVC remains our top idea among four thermal stocks: We like AVC most for its proven time-to-market delivery of cold plate module, chassis, and manifolds for NVDA and major AI ASIC customers. Increased liquid cooling solution adoption acts as the key profit driver for AVC and Fositek.

We stay EW on Auras for unclear VR platform exposure at this point and on Sunon for fair risk-reward, and await meaningful contribution from liquid cooling component offering.

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Asia Vital Components Co. Ltd. 3017.TW		
1Q26 margin	↑ Very likely upside surprise	↑ Modest revision higher

- 1Q26 margin should expand QoQ and YoY along with a favorable product mix shift and scale benefits.
- 2Q26 business outlook will be offered at the meeting. Business momentum is expected to remain at the March level at least for the remaining months of 2Q26.

Auras Technology Co Ltd 3324.TWO		
1Q26 margin	↑ Likely upside surprise	↑ Modest revision higher

- Smooth ramps at new fabs in Thailand and operating leverage benefits should drive stronger margin recovery in 1Q26.
- 2Q26 revenue likely grow sequentially for cold plate shipments ramp and new capacity addition in Thailand.

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Fositek Corp 6805.TW		
1Q26 margin	↑ Likely upside surprise	– Largely unchanged

- 1Q26 margin should expand QoQ and YoY along with a favorable product mix shift.
- 2Q26 revenue is likely to stay flattish QoQ as QD shipment ramp offsets hinge revenue shortfall from smartphone model transition.

Sunonwealth Electric Machine Industry Co 2421.TW		
1Q26 margin	↑ Likely upside surprise	– Largely unchanged

- 1Q26 margin should grow QoQ and YoY, supported by a favorable product mix shift.
- 2Q26 revenue likely grow sequentially.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

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Valuation

AVC's share price outperformed, up 53% vs. the TAIEX up 26%, while other thermal stocks underperformed. Fositek's share price was up 6%, while Auras and Sunonwealth fell 4% and 12%. Except for AVC, on our revised 2026-27 earnings estimates, valuations remain within one standard deviation of the two-year average P/E multiple. We expect positive developments – including rising adoption of liquid cooling and design upgrades in AI GPU/ASIC server racks through 2026–27 – to continue supporting share price momentum.

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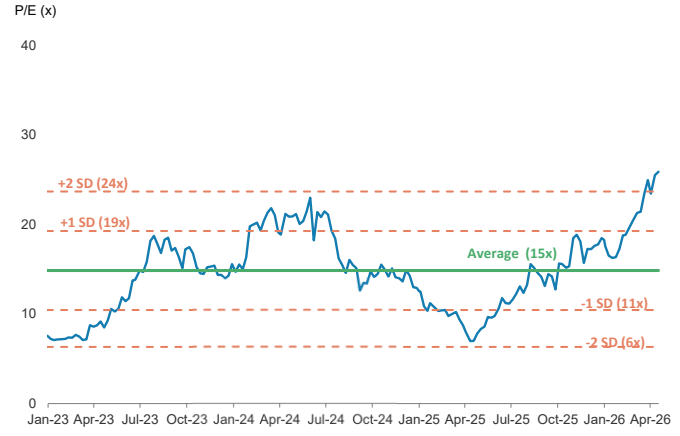
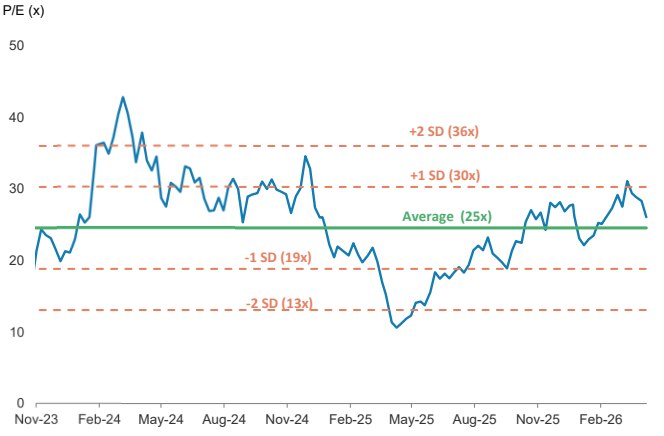
Exhibit 1: AVC: One-year forward P/E chart



Source: TEJ, Morgan Stanley Research estimates.

Exhibit 2: Fositek: One-year forward P/E chart



Source: FactSet, Morgan Stanley Research estimates.

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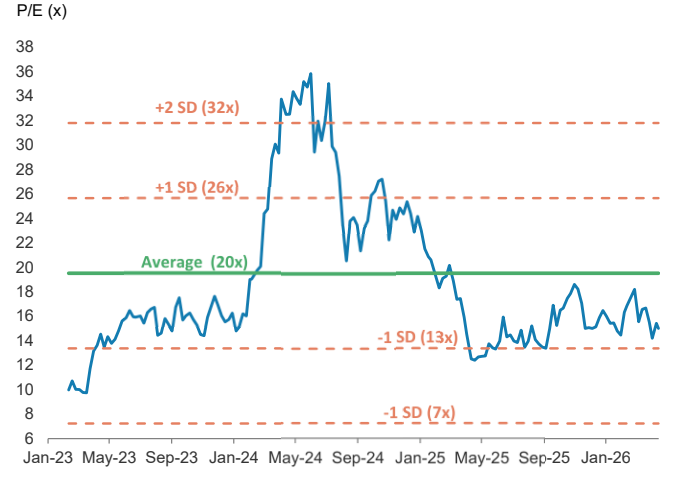
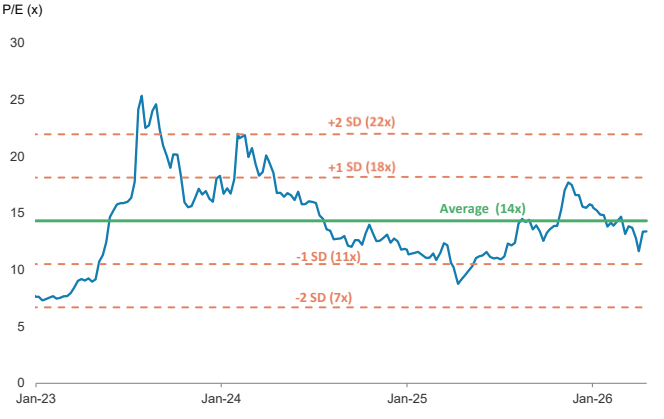
Exhibit 3: Auras: One-year forward P/E chart



Source: TEJ, Morgan Stanley Research estimates.

Exhibit 4: Sunon: One-year forward P/E chart



Source: TEJ, Morgan Stanley Research estimates.

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AVC: Earnings Estimate Changes

We raise our 2026, 2027, and 2028 earnings estimates 15%, 16%, and 17%, respectively: This reflects stronger AI-related shipments and higher gross margin assumptions on a better product mix.

Exhibit 5: AVC: Estimate changes

	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
NT$mn	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**
Net sales	**220,065**	**216,400**	**2%**	**267,246**	**258,614**	**3%**	**329,717**	**315,764**	**4%**
COGS	-155,208	-157,871	-2%	-185,596	-185,787	0%	-225,185	-223,603	1%
Gross profit	**64,857**	**58,529**	**11%**	**81,650**	**72,827**	**12%**	**104,532**	**92,161**	**13%**
Operating expenses	-11,826	-11,626	2%	-13,827	-13,386	3%	-16,105	-15,636	3%
Operating income	**53,031**	**46,903**	**13%**	**67,823**	**59,441**	**14%**	**88,427**	**76,525**	**16%**
Non-operating income	675	200	237%	675	200	237%	675	200	237%
Pre-tax income	**53,706**	**47,103**	**14%**	**68,498**	**59,641**	**15%**	**89,102**	**76,725**	**16%**
Income tax	-14,498	-12,696	14%	-18,522	-16,124	15%	-24,080	-20,726	16%
Net income	**37,068**	**32,268**	**15%**	**47,408**	**40,950**	**16%**	**61,941**	**52,918**	**17%**
EPS (NT$)	**95.00**	**82.63**	**15%**	**121.50**	**104.86**	**16%**	**158.75**	**135.50**	**17%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	29.5%	27.0%	2.4	30.6%	28.2%	2.4	31.7%	29.2%	2.5
Operating margin	24.1%	21.7%	2.4	25.4%	23.0%	2.4	26.8%	24.2%	2.6
Pre-tax margin	24.4%	21.8%	2.6	25.6%	23.1%	2.6	27.0%	24.3%	2.7
Net margin	16.8%	14.9%	1.9	17.7%	15.8%	1.9	18.8%	16.8%	2.0

Source: Company data, Morgan Stanley Research (e) estimates

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Price Target Revision and Valuation Methodology

We raise our price target for AVC from NT$2,300 to NT$2,750 (+20%), reflecting our estimate revisions for 2026-28. Our price target is our base case scenario value derived from a residual income (RI) model, similar to the rest of our tech hardware coverage universe.

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Our price target implies 29x 2026e P/E. We believe this is attractive as we expect AVC to be one of the direct consigned cold plate module suppliers for Nvidia's Rubin platform.

Our key assumptions are unchanged: A cost of equity of 10% (beta of 1.3, equity risk premium of 8%, and risk-free rate of 0.5%), medium-term growth rate of 13%, and terminal growth rate of 3%.

We also raise our bull and bear case values 20% each, to NT$3,846 and NT$1,654, in line with the increase in our base case value.

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Exhibit 6: AVC: Residual Income (RI) Model

Residual Income Valuation											
AVC (NT$ mn)		**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**	**2036E**
Total Equity		80,201	113,207	156,729	182,375	211,354	244,101	281,105	322,919	370,170	423,563	478,557
Core Net Profit		37,068	47,408	61,941	69,993	79,092	89,374	100,993	114,122	128,958	145,723	150,094
Return on Equity		73.3%	59.1%	54.7%	44.7%	43.4%	42.3%	41.4%	40.6%	39.9%	39.4%	35.4%
Beta (Last 60 Mths)	1.3											
Equity Risk Premium (Rm-Rf)	8%											
Risk Free Rate (Rf)	0.5%											
Cost of Equity	10%											
Terminal Growth Rate	3%											
2028-2034 growth rate	13%											
Beginning Equity Capital												
PV of Forecast Period												
PV of Continuing Value												
Equity Value												
No. of Shares												
Projected Price (12M Forward)		**NT$2750**										
Implied 2026E P/E		**29x**										

Source: Morgan Stanley Research (E) estimates

Financial summary

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Exhibit 7: AVC: Financial summary

Income Statement

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Net sales	**139,639**	**220,065**	**267,246**	**329,717**
COGS	-103,605	-155,208	-185,596	-225,185
Gross profit	**36,034**	**64,857**	**81,650**	**104,532**
Operating expenses	-8,292	-11,732	-13,732	-16,010
- Promotion	-1,589	-2,254	-2,436	-2,740
- ADM	-1,311	-1,731	-2,018	-2,340
- R&D	-5,392	-7,747	-9,278	-10,931
Operating income	**27,742**	**53,126**	**67,918**	**88,522**
Non-operating income	1173	675	675	675
Interest income	153	475	475	475
Investment income	0	0	0	0
Disposal of investment	11	0	0	0
Disposal of fixed assets	-384	0	0	0
Exchange gain	723	0	0	0
Other	670	200	200	200
Pre-tax income	28,916	53,801	68,593	89,197
Income tax	-9,787	-16,733	-21,184	-27,256
Net income	**19,129**	**37,068**	**47,408**	**61,941**
EPS (NT$)	**49.03**	**95.00**	**121.50**	**158.75**
Diluted EPS (NT$)	**48.86**	**94.69**	**121.10**	**158.23**

Balance Sheet

NT$ mn	2025	2026E	2027E	2028E
Cash	58,530	82,231	105,042	138,033
Mkt securities	1,912	1,912	1,912	1,912
Accounts/Notes receivables	12,133	19,121	23,220	28,648
Inventory	49,572	74,262	88,803	107,745
Other current assets	4,029	4,029	4,029	4,029
Current Assets	126,176	181,555	223,006	280,367
Long-term investments	986	986	986	986
Fixed assets	17,849	29,603	43,357	57,111
Other assets	15,125	15,125	15,125	15,125
Total Assets	**160,137**	**227,269**	**282,474**	**353,590**
S/T borrowings	15,111	15,111	15,111	15,111
AP/NP	48,109	72,071	86,182	104,565
Other ST liabilities	34,275	47,811	55,898	65,108
Other liabilities	5,128	5,128	5,128	5,128
L/T debt	6,949	6,949	6,949	6,949
Total Liabilities	**109,572**	**147,069**	**169,267**	**196,860**
Common shares	3,907	3,983	3,983	3,983
Capital Collection	76	0	0	0
APIC	2,728	2,728	2,728	2,728
Retained earnings	35,417	65,053	98,060	141,582
Treasury Stock	0	0	0	0
Other shareholders' equity	8437	8437	8437	8437
Shareholders' equity	**50,565**	**80,201**	**113,207**	**156,729**
Total Liab./Shrhldr's Equity	**160,137**	**227,269**	**282,474**	**353,590**

Cash Flow Statement

NT$ mn	2025	2026E	2027E	2028E
Cashflow from operations	**39,415**	**46,133**	**54,213**	**68,410**
Net Profits	20,951	37,068	47,408	61,941
Depreciation	3,246	3,246	3,246	3,246
Equity investment losses (income)	0	0	0	0
Other adjustments	15,219	5,819	3,559	3,223
Cashflow from investing	**-13,336**	**-15,000**	**-17,000**	**-17,000**
(Purchases) sale of FA (capex)	-7,264	-15,000	-17,000	-17,000
(Purchases) sale of L/T investment	217	0	0	0
(Purchases) sale of S/T investment	0	0	0	0
Other adjustments	-6,289	0	0	0
Cashflow from financing	**2,620**	**-7,432**	**-14,402**	**-18,419**
Increase in L/T debt	3,677	0	0	0
Increase in S/T debt	5,777	0	0	0
Issuance of stock	0	0	0	0
Cash dividends	-3,877	-7,023	-13,610	-17,406
Dir.& Emp. Bonus	0	0	0	0
Changes in Treasury Stocks	0	0	0	0
Other adjustments	-2,672	0	0	0
Exchange rate adjustment	-93	0	0	0
Net change in cash	28,606	23,701	22,811	32,991

Financial Ratios

	2025	2026E	2027E	2028E
Margins				
Gross margin	25.8%	29.5%	30.6%	31.7%
Operating margin	19.9%	24.1%	25.4%	26.8%
Pretax margin	20.7%	24.4%	25.7%	27.1%
Net margin	13.7%	16.8%	17.7%	18.8%
YoY growth				
Sales	94.6%	57.6%	21.4%	23.4%
Operating profits	155.0%	91.5%	27.8%	30.3%
Pretax profits	145.3%	86.1%	27.5%	30.0%
Net profits	153.2%	93.8%	27.9%	30.7%
EPS	150.0%	93.8%	27.9%	30.7%
Net Debt/Equity (Net of mkt secs.)	-76%	-77%	-75%	-75%
Net Debt/Equity	-72%	-75%	-73%	-74%
Liabilities/Equity	217%	183%	150%	126%
Liabilities/Assets	68%	65%	60%	56%
ROAE	45.5%	56.7%	49.0%	45.9%
ROAA	14.7%	19.1%	18.6%	19.5%
AR/NR Turnover (days)	26	26	29	29
AP/NP Turnover (days)	136	141	156	155
Inventory Turnover (days)	146	146	160	159
Cash conversion cycle (days)	37	30	34	33

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 8: AVC: Quarterly financial summary

NT$ mn	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Sales	**49,038**	**53,808**	**57,663**	**59,556**	**57,318**	**63,264**	**71,417**	**75,248**	**139,639**	**220,065**	**267,246**
COGS	-34,945	-37,928	-40,746	-41,588	-40,342	-44,061	-49,557	-51,635	-103,605	-155,208	-185,596
Gross profit	**14,093**	**15,880**	**16,917**	**17,968**	**16,975**	**19,202**	**21,859**	**23,612**	**36,034**	**64,857**	**81,650**
Operating expenses	-2,663	-2,851	-3,014	-3,298	-3,083	-3,258	-3,588	-3,898	-8,478	-11,826	-13,827
- Promotion	-524	-564	-574	-593	-559	-574	-635	-669	-1,589	-2,254	-2,436
- ADM	-387	-425	-446	-473	-446	-507	-522	-543	-1,311	-1,731	-2,018
- R&D	-1,728	-1,839	-1,971	-2,209	-2,054	-2,154	-2,407	-2,663	-5,392	-7,747	-9,278
Operating profit	**11,430**	**13,029**	**13,903**	**14,670**	**13,893**	**15,944**	**18,272**	**19,714**	**27,556**	**53,031**	**67,823**
Non-operating income	169	169	169	169	169	169	169	169	1,173	675	675
Interest income	119	119	119	119	119	119	119	119	153	475	475
Investment income	0	0	0	0	0	0	0	0	0	0	0
Disposal of investment	0	0	0	0	0	0	0	0	11	0	0
Disposal of fixed assets	0	0	0	0	0	0	0	0	-384	0	0
Exchange gain	0	0	0	0	0	0	0	0	723	0	0
Other	50	50	50	50	50	50	50	50	670	200	200
Pre-tax profit	11,598	13,198	14,071	14,838	14,062	16,113	18,441	19,883	28,729	53,706	68,498
Income tax	-2,787	-3,636	-3,951	-4,124	-3,379	-4,439	-5,178	-5,525	-7,836	-14,498	-18,522
Net profit	**8,441**	**9,224**	**9,436**	**9,967**	**10,238**	**11,269**	**12,441**	**13,460**	**19,129**	**37,068**	**47,408**
Adj.wtd.avg.shrs (m)	390	390	390	390	390	390	390	390	390	390	390
EPS (NT$)	**21.63**	**23.64**	**24.18**	**25.54**	**26.24**	**28.88**	**31.88**	**34.50**	**49.03**	**95.00**	**121.50**
Margins											
Gross margin	28.7%	29.5%	29.3%	30.2%	29.6%	30.4%	30.6%	31.4%	25.8%	29.5%	30.6%
Operating margin	23.3%	24.2%	24.1%	24.6%	24.2%	25.2%	25.6%	26.2%	19.7%	24.1%	25.4%
Pre-tax margin	23.7%	24.5%	24.4%	24.9%	24.5%	25.5%	25.8%	26.4%	20.6%	24.4%	25.6%
Net margin	17.2%	17.1%	16.4%	16.7%	17.9%	17.8%	17.4%	17.9%	13.7%	16.8%	17.7%
QoQ Growth											
Sales	2.6%	9.7%	7.2%	3.3%	-3.8%	10.4%	12.9%	5.4%			
Gross profit	11.8%	12.7%	6.5%	6.2%	-5.5%	13.1%	13.8%	8.0%			
Operating profit	14.1%	14.0%	6.7%	5.5%	-5.3%	14.8%	14.6%	7.9%			
Pre-tax profit	15.4%	13.8%	6.6%	5.5%	-5.2%	14.6%	14.4%	7.8%			
Net profit	27.2%	9.3%	2.3%	5.6%	2.7%	10.1%	10.4%	8.2%			
YoY Growth											
Sales	110%	82%	48%	25%	17%	18%	24%	26%	95%	58%	21%
Gross profit	134%	120%	66%	42%	20%	21%	29%	31%	114%	80%	26%
Operating profit	162%	156%	72%	46%	22%	22%	31%	34%	155%	92%	28%
Pre-tax profit	151%	124%	71%	48%	21%	22%	31%	34%	145%	87%	28%
Net profit	163%	131%	77%	50%	21%	22%	32%	35%	153%	94%	28%

Source: Company data, Morgan Stanley Research (E) estimates.

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Fositek: Earnings Estimate Changes

We raise our 2026, 2027, and 2028 earnings estimates 1%, 0.3%, and 8%, respectively: This reflects higher gross margin assumptions from a favorable product mix.

Exhibit 9: Estimate changes

	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
NT$mn	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**
Net sales	**18,240**	**18,495**	**-1%**	**23,998**	**24,217**	**-1%**	**28,686**	**27,210**	**5%**
COGS	-12,461	-12,724	-2%	-15,759	-15,951	-1%	-18,402	-17,637	4%
Gross profit	**5,779**	**5,771**	**0%**	**8,239**	**8,266**	**0%**	**10,285**	**9,573**	**7%**
Operating expenses	-1,171	-1,212	-3%	-1,428	-1,477	-3%	-1,642	-1,591	3%
Operating income	**4,608**	**4,559**	**1%**	**6,811**	**6,789**	**0%**	**8,642**	**7,981**	**8%**
Non-operating income	229	233	-2%	229	233	-2%	229	233	-2%
Pre-tax income	**4,837**	**4,792**	**1%**	**7,040**	**7,022**	**0%**	**8,871**	**8,215**	**8%**
Income tax	-791	-784	1%	-1,154	-1,151	0%	-1,456	-1,348	8%
Net income	**4,046**	**4,008**	**1%**	**5,886**	**5,871**	**0%**	**7,415**	**6,866**	**8%**
EPS (NT$)	**59.02**	**58.46**	**1%**	**85.86**	**85.65**	**0%**	**108.16**	**100.16**	**8%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	31.7%	31.2%	0.5	34.3%	34.1%	0.2	35.9%	35.2%	0.7
Operating margin	25.3%	24.6%	0.6	28.4%	28.0%	0.3	30.1%	29.3%	0.8
Pre-tax margin	26.5%	25.9%	0.6	29.3%	29.0%	0.3	30.9%	30.2%	0.7
Net margin	22.2%	21.7%	0.5	24.5%	24.2%	0.3	25.8%	25.2%	0.6

Source: Company data, Morgan Stanley Research (e) estimates

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Price Target Revision and Valuation Methodology

We raise our price target for Fositek from NT$2,000 to NT$2,150 (+8%): This reflects our earnings estimate revisions for 2026-28. Our price target is our base case scenario value derived from a residual income (RI) model, similar to the rest of our tech hardware coverage universe.

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Our price target implies 36x 2026e P/E. We view this as attractive given the company's increasing exposure to AI-related business and expanding gross margins, driven by a favorable shift in product mix.

Our key assumptions are unchanged: A cost of equity of 10% (beta of 1.3, equity risk premium of 8%, and risk-free rate of 0.5%), medium-term growth rate of 14%, and terminal growth rate of 3%.

We raise our bull and bear case values 8% and 9%, to NT$2,664 and NT$1,120, respectively, roughly in line with the increase in our base case value.

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Exhibit 11: Fositek: Consolidated Financial Summary

Income Statement

NT$ mn; FY End Dec	2024	2025	2026E	2027E	2028E
Net sales	**8,188**	**12,414**	**18,240**	**23,998**	**28,686**
COGS	-6,361	-9,144	-12,461	-15,759	-18,402
Gross profit	**1,827**	**3,270**	**5,779**	**8,239**	**10,285**
Operating expenses	-625	-759	-1,189	-1,446	-1,661
- Promotion	-32	-24	-21	-22	-22
- ADM	-148	-164	-234	-269	-297
- R&D	-445	-572	-934	-1,156	-1,341
Operating income	**1,202**	**2,511**	**4,590**	**6,793**	**8,624**
Non-operating income	297	20	229	229	229
Interest income	56	47	29	29	29
Investment income	0	0	0	0	0
Disposal of investment	0	0	0	0	0
Disposal of fixed assets	-18	-5	0	0	0
Exchange gain	71	-67	0	0	0
Other	188	45	200	200	200
Pre-tax income	1,499	2,531	4,819	7,022	8,853
Income tax	-272	-406	-773	-1,136	-1,438
Net income	**1,227**	**2,125**	**4,046**	**5,886**	**7,415**
EPS (NT$)	**17.90**	**31.00**	**59.02**	**85.86**	**108.16**
Diluted EPS (NT$)	**17.90**	**31.00**	**59.02**	**85.86**	**108.16**

Balance Sheet

NT$ mn	2024	2025	2026E	2027E	2028E
Cash	6,336	7,446	10,452	14,356	19,108
Mkt securities	0	1,009	1,009	1,009	1,009
Accounts/Notes receivables	2,163	2,298	3,377	4,443	5,311
Inventory	2,902	2,596	3,538	4,475	5,225
Other current assets	263	144	144	144	144
Current Assets	11,664	13,494	18,521	24,428	30,798
Long-term investments	71	71	71	71	71
Fixed assets	758	817	1,719	2,621	3,523
Other assets	264	296	296	296	296
Total Assets	**12,758**	**14,678**	**20,607**	**27,415**	**34,688**
S/T borrowings	430	420	420	420	420
AP/NP	5,093	5,077	6,919	8,750	10,217
Other ST liabilities	1,009	1,336	2,098	2,559	2,943
Other liabilities	679	652	652	652	652
L/T debt	0	0	0	0	0
Total Liabilities	**7,212**	**7,485**	**10,088**	**12,381**	**14,232**
Common shares	686	686	686	686	686
Capital Collection	0	0	0	0	0
APIC	2,467	2,473	2,473	2,473	2,473
Retained earnings	2,123	3,578	6,903	11,419	16,841
Treasury Stock	0	0	0	0	0
Other shareholders' equity	270	456	456	456	456
Shareholders' equity	**5,546**	**7,193**	**10,519**	**15,035**	**20,456**
Total Liab./Shrhldr's Equity	**12,758**	**14,678**	**20,607**	**27,415**	**34,688**

Cash Flow Statement

NT$ mn	2024	2025	2026E	2027E	2028E
Cashflow from operations	**1,409**	**1,971**	**4,926**	**6,474**	**7,945**
Net Profits	1,227	2,125	4,046	5,886	7,415
Depreciation	196	298	298	298	298
Equity investment losses (income)	0	0	0	0	0
Other adjustments	-15	-452	583	290	232
Cashflow from investing	**-664**	**-362**	**-1,200**	**-1,200**	**-1,200**
(Purchases) sale of FA (capex)	-538	-315	-1,200	-1,200	-1,200
(Purchases) sale of L/T investment	0	0	0	0	0
(Purchases) sale of S/T investment	-72	0	0	0	0
Other adjustments	-53	-47	0	0	0
Cashflow from financing	**-422**	**-603**	**-720**	**-1,370**	**-1,994**
Increase in L/T debt	0	0	0	0	0
Increase in S/T debt	-10	-10	0	0	0
Issuance of stock	0	0	0	0	0
Cash dividends	-377	-548	-720	-1,370	-1,994
Dir.& Emp. Bonus	0	0	0	0	0
Changes in Treasury Stocks	0	0	0	0	0
Other adjustments	-35	-45	0	0	0
Exchange rate adjustment	114	104	0	0	0
Net change in cash	438	1,109	3,007	3,904	4,752

Financial Ratios

	2024	2025	2026E	2027E	2028E
Margins					
Gross margin	22.3%	26.3%	31.7%	34.3%	35.9%
Operating margin	14.7%	20.2%	25.2%	28.3%	30.1%
Pretax margin	18.3%	20.4%	26.4%	29.3%	30.9%
Net margin	15.0%	17.1%	22.2%	24.5%	25.8%
YoY growth					
Sales	45.1%	51.6%	46.9%	31.6%	19.5%
Operating profits	34.9%	108.9%	82.8%	48.0%	27.0%
Pretax profits	62.7%	68.8%	90.4%	45.7%	26.1%
Net profits	95.5%	73.2%	90.4%	45.5%	26.0%
EPS	75.8%	73.2%	90.4%	45.5%	26.0%
Net Debt/Equity (Net of mkt secs.)	-106%	-112%	-105%	-99%	-96%
Net Debt/Equity	-106%	-98%	-95%	-93%	-91%
Liabilities/Equity	130%	104%	96%	82%	70%
Liabilities/Assets	57%	51%	49%	45%	41%
ROAE	24.2%	33.4%	45.7%	46.1%	41.8%
ROAA	11.3%	15.5%	22.9%	24.5%	23.9%
AR/NR Turnover (days)	81	66	57	59	62
AP/NP Turnover (days)	225	203	176	181	188
Inventory Turnover (days)	112	110	90	93	96
Cash conversion cycle (days)	-32	-28	-29	-29	-30

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

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Exhibit 12: Fositek: Quarterly Financial Summary

NT$ mn	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Sales	**4,184**	**4,171**	**4,761**	**5,125**	**4,831**	**5,825**	**6,442**	**6,899**	**12,414**	**18,240**	**23,998**
COGS	-2,925	-2,854	-3,231	-3,450	-3,231	-3,839	-4,197	-4,491	-9,144	-12,461	-15,759
Gross profit	**1,258**	**1,316**	**1,529**	**1,675**	**1,600**	**1,986**	**2,245**	**2,408**	**3,270**	**5,779**	**8,239**
Operating expenses	-284	-268	-301	-318	-300	-344	-376	-409	-746	-1,171	-1,428
- Promotion	-5	-5	-5	-5	-5	-6	-6	-6	-24	-21	-22
- ADM	-59	-55	-58	-62	-58	-67	-70	-74	-164	-234	-269
- R&D	-224	-212	-242	-256	-241	-276	-305	-333	-572	-934	-1,156
Operating profit	**975**	**1,048**	**1,228**	**1,357**	**1,300**	**1,643**	**1,869**	**1,999**	**2,524**	**4,608**	**6,811**
Non-operating income	57	57	57	57	57	57	57	57	20	229	229
Interest income	7	7	7	7	7	7	7	7	47	29	29
Investment income	0	0	0	0	0	0	0	0	0	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0
Disposal of fixed assets	0	0	0	0	0	0	0	0	-5	0	0
Exchange gain	0	0	0	0	0	0	0	0	-67	0	0
Other	50	50	50	50	50	50	50	50	45	200	200
Pre-tax profit	1,032	1,105	1,285	1,414	1,358	1,700	1,926	2,056	2,545	4,837	7,040
Income tax	-157	-180	-222	-232	-207	-277	-332	-338	-419	-791	-1,154
Net profit	**875**	**925**	**1,064**	**1,182**	**1,151**	**1,423**	**1,594**	**1,719**	**2,125**	**4,046**	**5,886**
Adj.wtd.avg.shrs (m)	69	69	69	69	69	69	69	69	69	69	69
EPS (NT$)	**12.76**	**13.50**	**15.51**	**17.24**	**16.79**	**20.75**	**23.25**	**25.07**	**31.00**	**59.02**	**85.86**
Margins											
Gross margin	30.1%	31.6%	32.1%	32.7%	33.1%	34.1%	34.8%	34.9%	26.3%	31.7%	34.3%
Operating margin	23.3%	25.1%	25.8%	26.5%	26.9%	28.2%	29.0%	29.0%	20.3%	25.3%	28.4%
Pre-tax margin	24.7%	26.5%	27.0%	27.6%	28.1%	29.2%	29.9%	29.8%	20.5%	26.5%	29.3%
Net margin	20.9%	22.2%	22.3%	23.1%	23.8%	24.4%	24.7%	24.9%	17.1%	22.2%	24.5%
QoQ Growth											
Sales	5.2%	-0.3%	14.1%	7.6%	-5.7%	20.6%	10.6%	7.1%			
Gross profit	9.0%	4.6%	16.2%	9.5%	-4.5%	24.1%	13.0%	7.3%			
Operating profit	12.1%	7.5%	17.2%	10.5%	-4.2%	26.3%	13.8%	7.0%			
Pre-tax profit	14.8%	7.1%	16.3%	10.0%	-4.0%	25.2%	13.3%	6.8%			
Net profit	16.4%	5.8%	14.9%	11.1%	-2.6%	23.6%	12.0%	7.8%			
YoY Growth											
Sales	86%	59%	34%	29%	15%	40%	35%	35%	52%	47%	32%
Gross profit	152%	109%	55%	45%	27%	51%	47%	44%	79%	77%	43%
Operating profit	167%	111%	55%	56%	33%	57%	52%	47%	111%	83%	48%
Pre-tax profit	145%	180%	55%	57%	32%	54%	50%	45%	70%	90%	46%
Net profit	145%	180%	55%	57%	32%	54%	50%	45%	73%	90%	45%

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates.

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Auras: Earnings Estimate Changes

We raise our 2025 EPS estimate by 12% but lower our 2026 and 2027 estimate by 5% and 7%: This reflects higher revenue from cold plate shipment ramp in 2026 but lower mid-term revenue given Vera Rubin project uncertainty.

Exhibit 13: Auras: Estimate changes

	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
NT$mn	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**	**New**	**Old**	**Variance**
Net sales	**40,729**	**37,179**	**10%**	**45,989**	**48,134**	**-4%**	**53,924**	**57,013**	**-5%**
COGS	-28,681	-26,267	9%	-32,301	-33,599	-4%	-37,762	-39,212	-4%
Gross profit	**12,048**	**10,911**	**10%**	**13,689**	**14,535**	**-6%**	**16,162**	**17,801**	**-9%**
Operating expenses	-4,929	-4,556	8%	-5,845	-6,256	-7%	-6,990	-7,994	-13%
Operating income	**7,119**	**6,355**	**12%**	**7,844**	**8,279**	**-5%**	**9,172**	**9,807**	**-6%**
Non-operating income	130	155	-16%	130	155	-16%	130	155	-16%
Pre-tax income	**7,249**	**6,510**	**11%**	**7,973**	**8,434**	**-5%**	**9,302**	**9,963**	**-7%**
Income tax	-1,366	-1,229	11%	-1,500	-1,596	-6%	-1,752	-1,886	-7%
Net income	**5,700**	**5,098**	**12%**	**6,290**	**6,656**	**-5%**	**7,367**	**7,894**	**-7%**
EPS (NT$)	**62.42**	**55.83**	**12%**	**68.89**	**72.89**	**-5%**	**80.68**	**86.45**	**-7%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	29.6%	29.3%	0.2	29.8%	30.2%	-0.4	30.0%	31.2%	-1.3
Operating margin	17.5%	17.1%	0.4	17.1%	17.2%	-0.1	17.0%	17.2%	-0.2
Pre-tax margin	17.8%	17.5%	0.3	17.3%	17.5%	-0.2	17.3%	17.5%	-0.2
Net margin	14.0%	13.7%	0.3	13.7%	13.8%	-0.2	13.7%	13.8%	-0.2

Source: Morgan Stanley Research (e) estimates.

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Price Target Discussion and Valuation Methodology

We lower our price target for Auras from NT$1,200 to NT$1,080 (-8%), reflecting decreasing 2027-2028 earnings estimates. Our price target is our base case scenario value, derived from a residual income (RI) model, similar to the rest of our tech hardware coverage universe.

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Our key assumptions are unchanged: a cost of equity of 10% (beta of 1.3, equity risk premium of 8%, and risk-free rate of 0.5%), a medium-term growth rate of 12.5% and a terminal growth rate of 3%.

Our price target implies 17x 2026e P/E. We believe the valuation is fair relative to the stock's trading average of 19x since 2023.

We also lower our bull and bear case values 10% each, to NT$1,492 and NT$609. These changes are in line with the decrease in our base case value.

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Exhibit 14: Auras: Residual income (RI) model

Residual Income Valuation												
Auras (NT$ mn)		**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**	**2036E**
Total Equity		16,099	19,968	24,663	31,094	38,328	46,466	55,622	65,922	77,510	89,387	101,561
Core Net Profit		5,700	6,290	7,367	8,288	9,324	10,489	11,800	13,275	14,934	15,308	15,691
Return on Equity		49.6%	39.1%	36.9%	33.6%	30.0%	27.4%	25.4%	23.9%	22.7%	19.7%	17.6%
Beta (Last 60 Mths)	1.3											
Equity Risk Premium (Rm-Rf)	8%											
Risk Free Rate (Rf)	0.5%											
Cost of Equity	10%											
Terminal Growth Rate	3%											
2027-2034 growth rate	12.5%											
Beginning Equity Capital		16,099										
PV of Forecast Period		41,031										
PV of Continuing Value		41,482										
Equity Value		98,611										
No. of Shares		91										
Projected Price (12M Forward)		**NT$1080**										
Implied 2026E P/E		**17x**										

Source: Morgan Stanley Research. Morgan Stanley Research (E) estimates.

Financial Summary

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Exhibit 15: Auras: Financial summary

Income Statement

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Net sales	**23,276**	**40,729**	**45,989**	**53,924**
COGS	-16,904	-28,681	-32,301	-37,762
Gross profit	**6,372**	**12,048**	**13,689**	**16,162**
Operating expenses	-3,111	-4,929	-5,845	-6,990
- Promotion	-827	-1,653	-1,828	-2,197
- ADM	-875	-1,144	-1,167	-1,276
- R&D	-1,410	-2,132	-2,850	-3,516
Operating income	**3,261**	**7,119**	**7,844**	**9,172**
Non-operating income	19	130	130	130
Interest income	-30	-70	-70	-70
Investment income	41	0	0	0
Disposal of investment	0	0	0	0
Disposal of fixed assets	-20	0	0	0
Exchange gain	-148	0	0	0
Other	176	200	200	200
Pre-tax income	3,279	7,249	7,973	9,302
Income tax	-707	-1,549	-1,683	-1,935
Net income	**2,572**	**5,700**	**6,290**	**7,367**
EPS (NT$)	**28.26**	**62.42**	**68.89**	**80.68**
Diluted EPS (NT$)	**26.84**	**59.30**	**65.44**	**76.64**

Balance Sheet

NT$ mn	2025	2026E	2027E	2028E
Cash	1,439	1,110	3,896	6,693
Mkt securities	0	0	0	0
Accounts/Notes receivables	10,068	17,618	19,893	23,325
Inventory	6,057	10,277	11,574	13,531
Other current assets	1,023	1,023	1,023	1,023
Current Assets	18,587	30,027	36,387	44,572
Long-term investments	730	730	730	730
Fixed assets	6,150	5,978	5,806	5,634
Other assets	657	657	657	657
Total Assets	**26,125**	**37,392**	**43,580**	**51,593**
S/T borrowings	2,578	2,578	2,578	2,578
AP/NP	7,594	12,884	14,511	16,964
Other ST liabilities	2,350	3,724	4,415	5,280
Other liabilities	717	717	717	717
L/T debt	1,390	1,390	1,390	1,390
Total Liabilities	**14,630**	**21,294**	**23,612**	**26,930**
Common shares	928	928	928	928
Capital Collection	0	0	0	0
APIC	2,533	2,533	2,533	2,533
Retained earnings	6,597	11,201	15,070	19,766
Treasury Stock	-161	-161	-161	-161
Other shareholders' equity	1598	1598	1598	1598
Shareholders' equity	**11,494**	**16,099**	**19,968**	**24,663**
Total Liab./Shrhldr's Equity	**26,125**	**37,392**	**43,580**	**51,593**

Cash Flow Statement

NT$ mn	2025	2026E	2027E	2028E
Cashflow from operations	**-571**	**1,266**	**5,707**	**5,968**
Net Profits	2,698	5,700	6,290	7,367
Depreciation	672	672	672	672
Equity investment losses (income)	41	0	0	0
Other adjustments	-3,982	-5,105	-1,255	-2,071
Cashflow from investing	**-2,695**	**-500**	**-500**	**-500**
(Purchases) sale of FA (capex)	-2,228	-500	-500	-500
(Purchases) sale of L/T investment	0	0	0	0
(Purchases) sale of S/T investment	-376	0	0	0
Other adjustments	-90	0	0	0
Cashflow from financing	**1,950**	**-1,096**	**-2,421**	**-2,671**
Increase in L/T debt	405	0	0	0
Increase in S/T debt	2,357	0	0	0
Issuance of stock	0	0	0	0
Cash dividends	-903	-1,096	-2,421	-2,671
Dir.& Emp. Bonus	0	0	0	0
Changes in Treasury Stocks	155	0	0	0
Other adjustments	-64	0	0	0
Exchange rate adjustment	-55	0	0	0
Net change in cash	-1,370	-329	2,787	2,796

Financial Ratios

	2025	2026E	2027E	2028E
Margins				
Gross margin	27.4%	29.6%	29.8%	30.0%
Operating margin	14.0%	17.5%	17.1%	17.0%
Pretax margin	14.1%	17.8%	17.3%	17.3%
Net margin	11.1%	14.0%	13.7%	13.7%
YoY growth				
Sales	47.5%	75.0%	12.9%	17.3%
Operating profits	70.6%	118.3%	10.2%	16.9%
Pretax profits	38.6%	121.1%	10.0%	16.7%
Net profits	35.9%	121.6%	10.4%	17.1%
EPS	33.1%	120.9%	10.4%	17.1%
Net Debt/Equity (Net of mkt secs.)	22%	18%	0%	-11%
Net Debt/Equity	22%	18%	0%	-11%
Liabilities/Equity	127%	132%	118%	109%
Liabilities/Assets	56%	57%	54%	52%
ROAE	24.8%	41.3%	34.9%	33.0%
ROAA	11.9%	17.9%	15.5%	15.5%
AR/NR Turnover (days)	122	124	149	146
AP/NP Turnover (days)	123	130	155	152
Inventory Turnover (days)	96	104	123	121
Cash conversion cycle (days)	94	98	118	115

Source: Company data, Morgan Stanley Research (E) estimates.

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Exhibit 16: Auras: Quarterly financial summary

NT$ mn	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Sales	**8,550**	**10,076**	**10,907**	**11,197**	**10,087**	**11,484**	**12,447**	**11,971**	**23,276**	**40,729**	**45,989**
COGS	-6,053	-7,052	-7,684	-7,890	-7,129	-8,064	-8,693	-8,416	-16,904	-28,681	-32,301
Gross profit	**2,496**	**3,024**	**3,222**	**3,306**	**2,958**	**3,420**	**3,755**	**3,556**	**6,372**	**12,048**	**13,689**
Operating expenses	-1,009	-1,200	-1,317	-1,403	-1,250	-1,421	-1,576	-1,597	-3,111	-4,929	-5,845
- Promotion	-339	-412	-445	-457	-412	-446	-483	-488	-827	-1,653	-1,828
- ADM	-260	-276	-290	-319	-273	-281	-295	-318	-875	-1,144	-1,167
- R&D	-410	-512	-582	-627	-565	-695	-799	-791	-1,410	-2,132	-2,850
Operating profit	**1,487**	**1,824**	**1,905**	**1,903**	**1,708**	**1,999**	**2,178**	**1,959**	**3,259**	**7,119**	**7,844**
Non-operating income	32	32	32	32	32	32	32	32	19	130	130
Interest income	-18	-18	-18	-18	-18	-18	-18	-18	-30	-70	-70
Investment income	0	0	0	0	0	0	0	0	41	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0
Disposal of fixed assets	0	0	0	0	0	0	0	0	-20	0	0
Exchange gain	0	0	0	0	0	0	0	0	-148	0	0
Other	50	50	50	50	50	50	50	50	176	200	200
Pre-tax profit	1,519	1,857	1,938	1,935	1,740	2,031	2,211	1,991	3,277	7,249	7,973
Income tax	-312	-415	-281	-357	-358	-454	-321	-368	-580	-1,366	-1,500
Net profit	**1,161**	**1,396**	**1,610**	**1,532**	**1,337**	**1,531**	**1,844**	**1,578**	**2,572**	**5,700**	**6,290**
Adj.wtd.avg.shrs (m)	91	91	91	91	91	91	91	91	91	91	91
EPS (NT$)	**12.72**	**15.28**	**17.64**	**16.78**	**14.64**	**16.77**	**20.19**	**17.28**	**28.26**	**62.42**	**68.89**
Margins											
Gross margin	29.2%	30.0%	29.5%	29.5%	29.3%	29.8%	30.2%	29.7%	27.4%	29.6%	29.8%
Operating margin	17.4%	18.1%	17.5%	17.0%	16.9%	17.4%	17.5%	16.4%	14.0%	17.5%	17.1%
Pre-tax margin	17.8%	18.4%	17.8%	17.3%	17.3%	17.7%	17.8%	16.6%	14.1%	17.8%	17.3%
Net margin	13.6%	13.9%	14.8%	13.7%	13.3%	13.3%	14.8%	13.2%	11.1%	14.0%	13.7%
QoQ Growth											
Sales	12.5%	17.9%	8.2%	2.7%	-9.9%	13.9%	8.4%	-3.8%			
Gross profit	24.6%	21.1%	6.6%	2.6%	-10.5%	15.6%	9.8%	-5.3%			
Operating profit	39.2%	22.7%	4.4%	-0.1%	-10.2%	17.0%	9.0%	-10.1%			
Pre-tax profit	27.1%	22.2%	4.4%	-0.1%	-10.1%	16.7%	8.8%	-9.9%			
Net profit	25.0%	20.2%	15.4%	-4.9%	-12.7%	14.5%	20.4%	-14.4%			
YoY Growth											
Sales	94%	90%	83%	47%	18%	14%	14%	7%	48%	75%	13%
Gross profit	107%	118%	82%	65%	19%	13%	17%	8%	58%	89%	14%
Operating profit	164%	188%	92%	78%	15%	10%	14%	3%	71%	118%	10%
Pre-tax profit	128%	781%	61%	62%	15%	9%	14%	3%	39%	121%	10%
Net profit	127%	783%	65%	65%	15%	10%	14%	3%	36%	122%	10%

Source: Company data, Morgan Stanley Research (E) estimates.

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Sunonwealth: Earnings Estimate Changes

We keep our 2026 earnings estimate largely unchanged, raise 2026 by 4% and introduce 2028 at NT$12.95. This reflects higher revenue assumptions in view of higher AI server shipment assumptions.

Exhibit 17: Sunon: Earnings estimate changes

	2026e Earnings Estimates			2027e Earnings Estimates			2028e
NT$mn	New	Old	Variance	New	Old	Variance	New
Net sales	**22,274**	**22,899**	**-3%**	**24,701**	**24,199**	**2%**	**27,027**
COGS	-15,280	-15,793	-3%	-16,898	-16,546	2%	-18,482
Gross profit	**6,994**	**7,106**	**-2%**	**7,803**	**7,653**	**2%**	**8,545**
Operating expenses	-3,535	-3,632	-3%	-3,841	-3,830	0%	-4,098
Operating income	**3,459**	**3,474**	**0%**	**3,961**	**3,823**	**4%**	**4,447**
Non-operating income	138	169	-18%	138	169	-18%	138
Pre-tax income	**3,598**	**3,644**	**-1%**	**4,100**	**3,992**	**3%**	**4,586**
Income tax	-824	-835	-1%	-937	-916	2%	-1,046
Net income	**2,774**	**2,809**	**-1%**	**3,162**	**3,077**	**3%**	**3,540**
EPS (NT$)	**10.15**	**10.18**	**0%**	**11.57**	**11.15**	**4%**	**12.95**
Margins (%)			***ppt***			***ppt***	
Gross margin	31.4%	31.0%	0.4	31.6%	31.6%	0.0	31.6%
Operating margin	15.5%	15.2%	0.4	16.0%	15.8%	0.2	16.5%
Pre-tax margin	16.2%	15.9%	0.2	16.6%	16.5%	0.1	17.0%
Net margin	12.5%	12.3%	0.2	12.8%	12.7%	0.1	13.1%

Source: Morgan Stanley Research (e) estimates

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Price Target Discussion and Valuation Methodology

We lower our price target from NT$175 to NT$165 (-6%): This reflects our earnings estimate revisions for 2026-27 and higher forecast dividend payout ratio. Our price target is our base case scenario value.

We derive our price target from our residual income model, similar to the rest of our tech hardware coverage universe. Our key assumptions of cost of equity of 10% (beta of 1.3, equity risk premium of 8%, and risk-free rate of 0.5%), a medium-term growth rate of 13%, and terminal growth rate of 3% are unchanged.

Our price target implies 16x 2026e P/E. We believe the valuation appears fair relative to the stock's trading average of 16x since 2023.

We also lower our bull and bear case values 6% each, to NT$237 and NT$99. These changes are in line with the increase in our base case value.

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Exhibit 18: Residual income (RI) model

Residual Income Valuation												
Sunon (NT$ mn)		**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**	**2036E**
Total Equity		10,158	11,378	12,705	17,070	21,982	27,507	33,724	40,717	48,584	57,435	66,551
Core Net Profit		2,774	3,162	3,540	3,982	4,480	5,040	5,670	6,379	7,176	8,073	8,316
Return on Equity		31.2%	31.1%	31.1%	31.3%	26.2%	22.9%	20.6%	18.9%	17.6%	16.6%	14.5%
Beta (Last 60 Mths)	1.3											
Equity Risk Premium (Rm-Rf)	8%											
Risk Free Rate (Rf)	0.5%											
Cost of Equity	10%											
Terminal Growth Rate	3%											
2029-2035 growth rate	13%											
Beginning Equity Capital		10,158										
PV of Forecast Period		17,522										
PV of Continuing Value		17,428										
Equity Value		45,109										
No. of Shares		273										
Projected Price		**NT$165**										
Implied 2026E P/E		**16x**										

Source: Morgan Stanley Research (E) estimates.

Financial summary

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Exhibit 19: Sunon: Financial summary

Income Statement

NT$ mn; FY End Dec	2025	2026E	2027E	2028E
Net sales	**18,678**	**22,274**	**24,701**	**27,027**
COGS	-12,876	-15,280	-16,898	-18,482
Gross profit	**5,801**	**6,994**	**7,803**	**8,545**
Operating expenses	-2,987	-3,535	-3,841	-4,098
- Promotion	-1,085	-1,200	-1,331	-1,413
- ADM	-820	-999	-1,029	-1,065
- R&D	-1,082	-1,336	-1,481	-1,621
Operating income	**2,815**	**3,459**	**3,961**	**4,447**
Non-operating income	-12	138	138	138
Interest income	79	58	58	58
Investment income	-173	0	0	0
Disposal of investment	0	0	0	0
Disposal of fixed assets	-6	0	0	0
Exchange gain	-116	0	0	0
Other	204	80	80	80
Pre-tax income	2,802	3,598	4,100	4,586
Income tax	-637	-824	-937	-1,046
Net income	**2,166**	**2,774**	**3,162**	**3,540**
EPS (NT$)	**7.92**	**10.15**	**11.57**	**12.95**
Diluted EPS (NT$)	**7.92**	**10.15**	**11.57**	**12.95**

Balance Sheet

NT$ mn	2025	2026E	2027E	2028E
Cash	5,256	5,697	6,383	7,529
Mkt securities	0	0	0	0
Accounts/Notes receivables	5,217	6,222	6,900	7,550
Inventory	2,424	2,876	3,181	3,479
Other current assets	295	295	295	295
Current Assets	13,193	15,091	16,759	18,854
Long-term investments	127	127	127	127
Fixed assets	3,054	3,649	3,983	3,951
Other assets	1,053	1,053	1,053	1,053
Total Assets	**17,427**	**19,919**	**21,922**	**23,985**
S/T borrowings	470	470	470	470
AP/NP	4,570	5,424	5,998	6,560
Other ST liabilities	2,033	2,401	2,609	2,784
Other liabilities	854	854	854	854
L/T debt	613	613	613	613
Total Liabilities	**8,539**	**9,761**	**10,544**	**11,280**
Common shares	2,734	2,734	2,734	2,734
Capital Collection	0	0	0	0
APIC	1,519	1,519	1,519	1,519
Retained earnings	3,677	4,948	6,169	7,495
Treasury Stock	-78	-78	-78	-78
Other shareholders' equity	1034	1034	1034	1034
Shareholders' equity	**8,887**	**10,158**	**11,378**	**12,705**
Total Liab./Shrhldr's Equity	**17,427**	**19,919**	**21,922**	**23,985**

Cash Flow Statement

NT$ mn	2025	2026E	2027E	2028E
Cashflow from operations	**3,293**	**3,143**	**3,628**	**4,060**
Net Profits	2,166	2,774	3,162	3,540
Depreciation	550	605	665	732
Equity investment losses (income)	173	0	0	0
Other adjustments	405	-235	-200	-211
Cashflow from investing	**-1,114**	**-1,200**	**-1,000**	**-700**
(Purchases) sale of FA (capex)	-953	-1,200	-1,000	-700
(Purchases) sale of L/T investment	-29	0	0	0
(Purchases) sale of S/T investment	0	0	0	0
Other adjustments	-132	0	0	0
Cashflow from financing	**-1,519**	**-1,503**	**-1,942**	**-2,214**
Increase in L/T debt	128	0	0	0
Increase in S/T debt	-458	0	0	0
Issuance of stock	0	0	0	0
Cash dividends	-1,012	-1,503	-1,942	-2,214
Dir.& Emp. Bonus	0	0	0	0
Changes in Treasury Stocks	-78	0	0	0
Other adjustments	-100	0	0	0
Exchange rate adjustment	-82	0	0	0
Net change in cash	578	440	686	1,147

Financial Ratios

	2025	2026E	2027E	2028E
Margins				
Gross margin	31.1%	31.4%	31.6%	31.6%
Operating margin	15.1%	15.5%	16.0%	16.5%
Pretax margin	15.0%	16.2%	16.6%	17.0%
Net margin	11.6%	12.5%	12.8%	13.1%
YoY growth				
Sales	27.7%	19.3%	10.9%	9.4%
Operating profits	67.5%	22.9%	14.5%	12.3%
Pretax profits	41.2%	28.4%	14.0%	11.9%
Net profits	45.1%	28.1%	14.0%	11.9%
EPS	45.5%	28.1%	14.0%	11.9%
Net Debt/Equity (Net of mkt secs.)	-47%	-45%	-47%	-51%
Net Debt/Equity	-47%	-45%	-47%	-51%
Liabilities/Equity	96%	96%	93%	89%
Liabilities/Assets	49%	49%	48%	47%
ROAE	25.8%	29.1%	29.4%	29.4%
ROAA	13.4%	14.9%	15.1%	15.4%
AR/NR Turnover (days)	91	94	97	98
AP/NP Turnover (days)	114	119	123	124
Inventory Turnover (days)	65	63	65	66
Cash conversion cycle (days)	42	38	39	39

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates

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Exhibit 20: Sunon: Quarterly Earnings Estimates

NT$ mn	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E
Sales	**5,019**	**5,612**	**5,880**	**5,763**	**5,346**	**6,024**	**6,591**	**6,740**	**18,678**	**22,274**	**24,701**
COGS	-3,444	-3,832	-4,032	-3,971	-3,671	-4,121	-4,498	-4,607	-12,876	-15,280	-16,898
Gross profit	**1,575**	**1,780**	**1,848**	**1,791**	**1,675**	**1,903**	**2,093**	**2,133**	**5,801**	**6,994**	**7,803**
Operating expenses	-811	-884	-926	-913	-853	-935	-1,012	-1,042	-2,992	-3,535	-3,841
- Promotion	-270	-302	-317	-311	-288	-325	-355	-363	-1,085	-1,200	-1,331
- ADM	-240	-245	-257	-257	-244	-249	-261	-275	-820	-999	-1,029
- R&D	-301	-337	-353	-346	-321	-361	-395	-404	-1,082	-1,336	-1,481
Operating profit	**764**	**896**	**921**	**878**	**822**	**968**	**1,081**	**1,091**	**2,809**	**3,459**	**3,961**
Non-operating income	35	35	35	35	35	35	35	35	-12	138	138
Interest income	15	15	15	15	15	15	15	15	79	58	58
Investment income	0	0	0	0	0	0	0	0	-173	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0
Disposal of fixed assets	0	0	0	0	0	0	0	0	-6	0	0
Exchange gain	0	0	0	0	0	0	0	0	-116	0	0
Other	20	20	20	20	20	20	20	20	204	80	80
Pre-tax profit	798	931	956	913	856	1,003	1,115	1,125	2,797	3,598	4,100
Income tax	-148	-257	-217	-201	-159	-277	-253	-247	-631	-824	-937
Net profit	**650**	**673**	**739**	**712**	**697**	**725**	**862**	**878**	**2,166**	**2,774**	**3,162**
Adj.wtd.avg.shrs (m)	273	273	273	273	273	273	273	273	273	273	273
EPS (NT$)	**2.38**	**2.46**	**2.70**	**2.61**	**2.55**	**2.65**	**3.15**	**3.21**	**7.92**	**10.15**	**11.57**
Margins											
Gross margin	31.4%	31.7%	31.4%	31.1%	31.3%	31.6%	31.8%	31.6%	31.1%	31.4%	31.6%
Operating margin	15.2%	16.0%	15.7%	15.2%	15.4%	16.1%	16.4%	16.2%	15.0%	15.5%	16.0%
Pre-tax margin	15.9%	16.6%	16.3%	15.8%	16.0%	16.6%	16.9%	16.7%	15.0%	16.2%	16.6%
Net margin	12.9%	12.0%	12.6%	12.4%	13.0%	12.0%	13.1%	13.0%	11.6%	12.5%	12.8%
QoQ Growth											
Sales	2.1%	11.8%	4.8%	-2.0%	-7.2%	12.7%	9.4%	2.3%			
Gross profit	-2.4%	13.0%	3.8%	-3.1%	-6.5%	13.6%	10.0%	1.9%			
Operating profit	-5.7%	17.3%	2.8%	-4.7%	-6.4%	17.8%	11.7%	0.9%			
Pre-tax profit	-0.4%	16.6%	2.7%	-4.5%	-6.2%	17.1%	11.3%	0.9%			
Net profit	4.0%	3.6%	9.7%	-3.6%	-2.1%	4.0%	18.8%	1.8%			
YoY Growth											
Sales	21%	20%	19%	17%	6%	7%	12%	17%	28%	19%	11%
Gross profit	29%	25%	20%	11%	6%	7%	13%	19%	40%	21%	12%
Operating profit	48%	25%	20%	8%	8%	8%	17%	24%	68%	23%	15%
Pre-tax profit	38%	80%	6%	14%	7%	8%	17%	23%	41%	29%	14%
Net profit	38%	80%	6%	14%	7%	8%	17%	23%	45%	28%	14%

Source: Company data, Morgan Stanley Research. E = Morgan Stanley Research estimates

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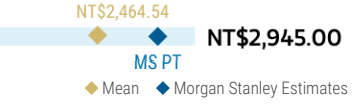
Risk Reward – Asia Vital Components Co. Ltd. (3017.TW)

Complete product offering to capture AI trend

PRICE TARGET NT$2,750.00

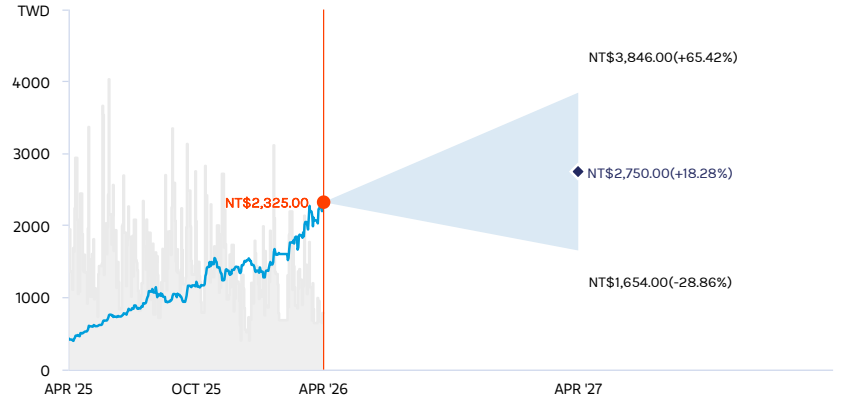
Base case, derived from our multi-stage residual income (RI) valuation model, similar to the rest of our tech hardware coverage universe. We assume a cost of equity of 10%, a medium-term growth rate of 13% and a terminal growth rate of 3%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



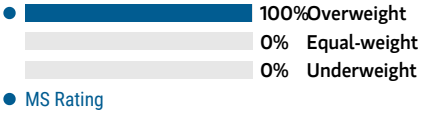
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect AVC to benefit from AI server and liquid cooling upgrades in view of the increasing content value of thermal modules.
- We view market concerns about order change impact as overdone and see profit growth potential from its leadership position in server thermal components (2.5D/3D VC and cold plate modules).
- Potential standardized design for Vera Rubin computing trays likely bodes well for AVC as a direct consigned NVIDIA vendor.
- Our price target implies that 2026e P/E can expand to 29x vs. its one-year average of 21x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$3,846.00

41x 2026e base-case EPS

Faster growth from server/data center business with margin expansion: 1) Faster-than-expected thermal design upgrades for data centers, including servers and switch designs. 2) Accelerating 5G network deployment momentum. 3) Faster margin expansion from better product mix.

BASE CASE NT$2,750.00

29x 2026e base-case EPS

Growth in liquid cooling business: 1) Server upgrades and share gains to drive server business revenue growth. 2) Dominant supply of cold plate modules for NVIDIA server racks and ASIC AI servers. 3) 2026 revenue and gross margin are expected to grow quarter by quarter from 1Q26.

BEAR CASE NT$1,654.00

17x 2026e base-case EPS

Slower growth from data center/5G business with margin contraction: 1) Slower-than-expected thermal design upgrades for data centers, including servers and switch designs. 2) Decelerating 5G network deployment momentum. 3) Margin contraction from a worsening product mix.

Risk Reward – Fositek Corp (6805.TW)

Built on Strong Foundations

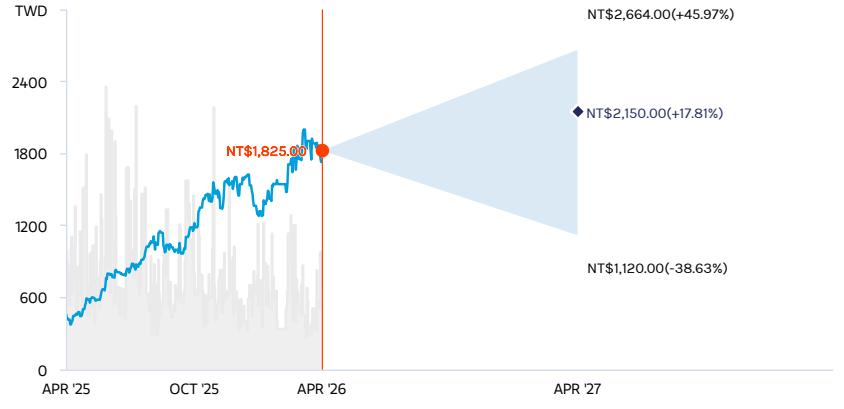
PRICE TARGET NT$2,150.00

Base case, derived from our multi-stage residual income (RI) valuation model, similar to the rest of our tech hardware coverage universe. We assume a cost of equity of 10%, a medium-term growth rate of 14% and a terminal growth rate of 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



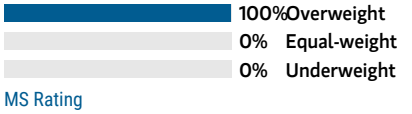
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect Fositek to benefit from increasing penetration of foldable phones, driven by the anticipated foldable iPhone debut in 2H26.
- Quick disconnect for liquid cooling solutions and server rail kit are identified as key growth drivers for 2026.
- We expect increasing contribution from its server business to drive a favorable product mix shift, and thus boost its overall gross margin from 26.3% in 2025 to 34.3% in 2027.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$2,664.00

45x 2026 base-case EPS

Faster growth from server/data center business with margin expansion: 1) Increasing penetration of liquid cooling in servers/data centers; 2) faster-than-expected server rail kit project gain; and 3) increasing penetration of foldable smartphones.

BASE CASE NT$2,150.00

36x 2026 base-case EPS

Growth in data center business: 1) Smartphone hinge business stays flattish YoY in 2026; 2) server upgrades and share gains to drive server business revenue growth; 3) industrial robot reducers to be long-term business drivers.

BEAR CASE NT$1,120.00

19x 2026 base-case EPS

Slower growth from data center business with margin contraction: 1) Slower-than-expected adoption of liquid cooling in servers/data centers; 2) severe pricing pressure from intensified industry competition; and 3) slower-than-expected foldable smartphone penetration.

Risk Reward – Fositek Corp (6805.TW)

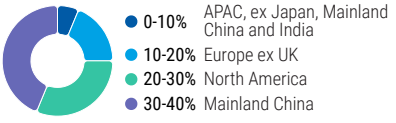
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Telecom revenue contribution (%)	11.4	11.9	11.9	11.8
Server/data center revenue contribution (%)	0.0	0.0	0.0	0.0
Blended thermal ASP (%)	0.3	7.2	3.7	(0.2)

INVESTMENT DRIVERS

- Increasing foldable smartphone penetration
- Server demand/share gains
- Margin expansion
- New customers and project wins

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increasing penetration of liquid cooling in servers/data centers
- Faster-than-expected server rail kit project gains
- iPhone flagship models adopt foldable screen in 2026

RISKS TO DOWNSIDE

- Slower liquid cooling penetration in servers/data centers
- Slower foldable smartphone penetration
- Stronger-than-expected industry competition

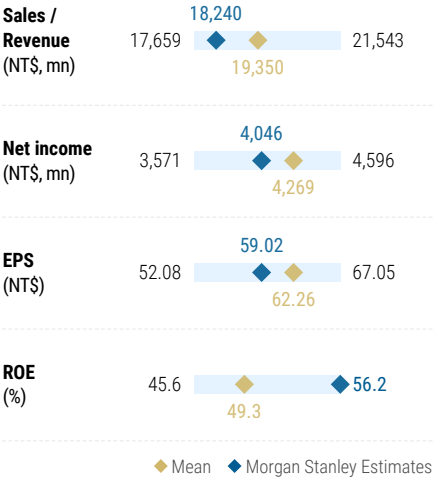
OWNERSHIP POSITIONING

Inst. Owners, % Active 67.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

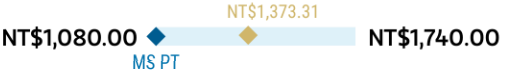
Risk Reward – Auras Technology Co Ltd (3324.TWO)

Benefits from liquid cooling trend, but fairly valued

PRICE TARGET NT$1,080.00

Base case, derived from a multi-stage residual income (RI) valuation model, similar to the rest of our tech hardware coverage universe. We assume a cost of equity of 10%, a medium-term growth rate of 12.5% and a terminal growth rate of 3%.

Consensus Price Target Distribution

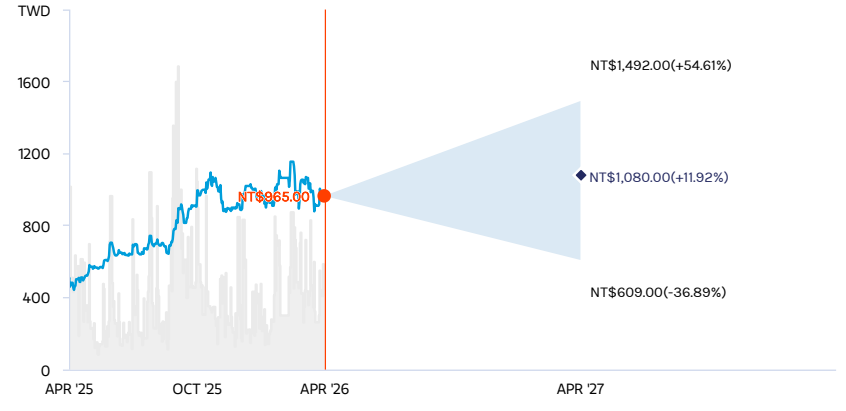


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We think Auras will benefit from server spec upgrades and long-term AI thermal demand.
- 2026 revenue is expected to increase 50% YoY, driven mainly by the liquid cooling offering increase.
- We stay EW as we wait for liquid cooling project kickoff timing and contribution.

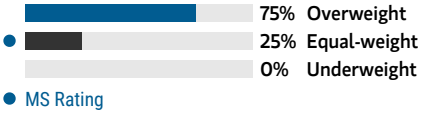
RISK REWARD CHART



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Negative*
Secular Growth:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,492.00

24x 2026e base-case EPS

Faster heat pipe/VC adoption driving ASP upside: We assume: 1) faster-than-expected thermal design upgrades for data centers, including both server and switch designs; 2) ASP upgrades in NB/PC and VGA thermal modules; and 3) increasing penetration of vapor chambers in smartphones.

BASE CASE NT$1,080.00

17x 2026e base-case EPS

2026 revenue to grow >50% YoY for liquid cooling offerings: We expect server business and liquid cooling to continue to be the major driver in 2026. Gross margin is indicated by management to widen further YoY, thanks to a favorable product mix.

BEAR CASE NT$609.00

10x 2026e base-case EPS

Slower PC/NB and VGA demand recovery, while industry competition intensifies: We assume: 1) slower-than-expected thermal design upgrades for data centers, including both server and switch design; 2) severe pricing pressure from intensified industry competition; and 3) a slowdown in PC or VGA/graphic card markets.

Risk Reward – Auras Technology Co Ltd (3324.TWO)

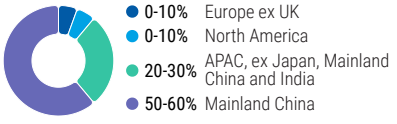
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Smartphone revenue contribution (%)	1.2	0.4	0.4	0.3
Blended ASP YoY (%)	63.7	96.7	10.5	7.5

INVESTMENT DRIVERS

- Heat pipe/VC adoption in smartphones
- Server demand/share gains
- Gaming PC/NB demand strength
- New customers and project wins

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected thermal design upgrades for data centers, including both server and switch designs.
- ASP upgrades in NB/PC and VGA thermal modules.
- Increasing penetration of vapor chambers in smartphones.

RISKS TO DOWNSIDE

- Slower-than-expected thermal design upgrades for data centers.
- Severe pricing pressure from intensified industry competition.
- A slowdown in PC or VGA/graphic card market.

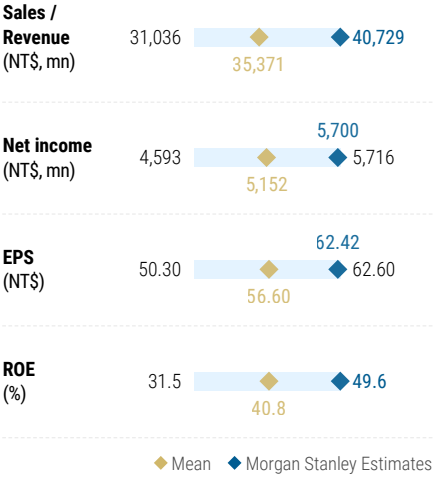
OWNERSHIP POSITIONING

Inst. Owners, % Active 49.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

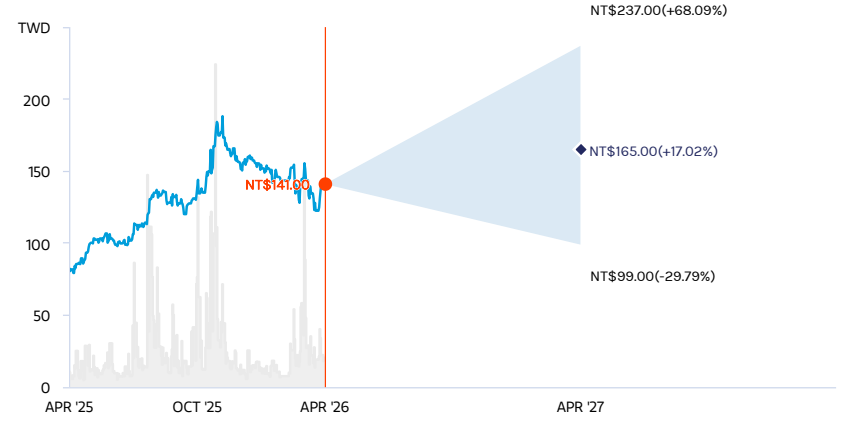
Risk Reward – Sunonwealth Electric Machine Industry Co (2421.TW)

Margin uptrend driven by server upgrade and AI shipment ramp, but fairly valued

PRICE TARGET NT$165.00

Base case, derived from a multi-stage residual income (RI) valuation model, similar to the rest of our tech hardware coverage universe. We assume a cost of equity of 10%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

RISK REWARD CHART



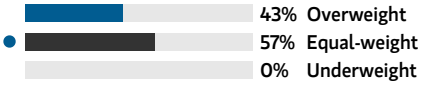
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect Sunon to benefit from server upgrades in view of the increasing value of cooling fans, given rising heat dissipation needs for server CPUs and GPUs.
- We see business opportunities from the automotive industry and recovery in PC/NB revenue.
- We believe valuation appears fair at 16x 2026e P/E, in line with its two-year average, as we await liquid cooling component offering breakthrough.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$237.00

23x 2026e base case EPS

Faster-than-expected order wins in the server, networking, and automotive businesses, further boosting margin expansion: We assume: 1) further share gains in server and data center cooling fans alongside ASP expansion; 2) faster-than-expected order gains in automotive clients; and 3) better-than-expected margin expansion.

BASE CASE NT$165.00

16x 2026e base case EPS

Business growth in server and automotive businesses; PC/NB recovery seen: We expect: 1) server upgrades, driving cooling fan value increase; 2) ongoing order wins in the automotive business; and 3) PC/NB revenue to grow YoY in 2026.

BEAR CASE NT$99.00

10x 2026e base case EPS

Limited thermal solutions upgrades; pricing pressure from competition: We assume: 1) limited thermal solutions upgrades owing to cost concerns; 2) slower-than-expected order wins in the automotive business; and 3) severe pricing pressure from intensified industry competition.

Risk Reward – Sunonwealth Electric Machine Industry Co (2421.TW)

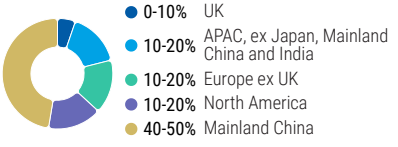
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Telecom and server revenue contribution (%)	57.8	61.1	66.1	68.8
Automotive revenue contribution (%)	9.0	8.1	7.3	6.8
Blended ASP YoY (%)	13.1	12.2	13.3	6.2

INVESTMENT DRIVERS

- Server demand/share gains
- Thermal spec upgrades driving ASP upgrades
- Automotive order wins
- New customers and project wins

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Further share gains in server and data center cooling fans alongside ASP expansion
- Faster-than-expected order gains in automotive clients
- Better-than-expected margin expansion

RISKS TO DOWNSIDE

- Limited thermal solutions upgrades owing to cost concerns
- Slower-than-expected order wins in the automotive business
- Severe pricing pressure from intensified industry competition

OWNERSHIP POSITIONING

Inst. Owners, % Active 46.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	21,042	22,274 / 22,327	23,810
Net income (NT$, mn)	2,683	2,774 / 2,952	3,223
EPS (NT$)	9.73	10.15 / 10.72	11.71
ROE (%)	27.8	31.2 / 31.7	35.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

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4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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